Flipping Homes – Crib Sheet

A type of real estate investment strategy in which an investor purchases properties with the goal of reselling them for a profit. The profit is generated either through the price appreciation that occurs as a result of a hot housing market and/or from renovations and capital improvements. There are two major types of properties that can be used in a buy/sell approach to real estate investing. The first is homes or apartments that can be purchased below current market value because they are in financial distress. The second is the "fixer", a property with a structural or design issue that can be overcome to create value.

Pros

- A high cash injection and profitable strategy.
- An excellent structure for your "Real Estate Business" especially for JV partners.
- The ability to immediately realize gains and to have capital tied up for the least amount of time possible.
- It lacks the management and leasing risks inherent in holding real estate.
- Creative financing and OPM can be utilized effectively and paid back quickly.

Cons

- For most investors, flipping properties should be considered more of a tactical strategy than a long-term investment strategy.
- Finding these opportunities can be difficult over the long-term, making this strategy better suited for those wishing to take advantage of shorter-term opportunities in the real estate market.
- Investors who employ these strategies face the risk of price depreciation in bad housing markets and/or not managing reno costs and sale costs accordingly.
- Institutional lending may be more difficult to obtain.
- Because transaction costs are very high on both the buy and sell side, they can significantly affect profits.
- Flipping properties can create tax and cost issues that one doesn't face with long-term investments.